

Discussion

“How do investors react to natural disasters?
Location matters.”

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Core of this paper

Research Questions

- ▶ How do investors respond to natural disasters?
- ▶ Does geographic proximity shape that response?

What I like

- ▶ Focus on **herding behavior** — connects a well-established behavioral phenomenon to an underexplored trigger
- ▶ **EMDAT** as the event database — systematic cross-country coverage that is hard to replicate otherwise

Comment 1 — Disaster Dummy: Too Blunt a Measure?

Current approach: $Disast_t = 1$ on the onset day of a disaster; $= 0$ otherwise.

Problem

- ▶ Investors learn through **media**, not from EMDAT
- ▶ Coverage typically **peaks 1–3 days after** onset
- ▶ Onset day may capture *no* real information shock

Suggestion

- ▶ Use **Google Trends** or news article counts
- ▶ Add a **distributed lag** window: $t, t+1, t+2$
- ▶ More directly captures the *actual* information shock

Comment 2 — All Disasters Treated Equally?

Current approach: A minor local flood and a major hurricane both set $Disast_t = 1$.

Problem

- ▶ EMDAT records events of **vastly different** magnitudes
- ▶ Investor reaction likely scales with **severity**
- ▶ Binary coding discards information already in EMDAT

Suggestion

- ▶ **Weight** by deaths, economic losses, or area affected
- ▶ Run **subsample split**: small vs. large disasters
- ▶ Test whether herding is driven by *severe* events only

Comment 3 — Multiple Testing: Are the Results Real?

Current approach: 4 origins $\times$ 6 countries $\times$ 2 conditions = **48** tests, no correction for multiple testing.

Problem

- ▶ At $\alpha = 5\%$, **2–3 false positives** expected by chance
- ▶ Significant results **scattered** across countries and origins
- ▶ Hard to **rule out** false positives

Suggestion

- ▶ Apply **Bonferroni** or **FDR** correction
- ▶ Formally test coefficient **differences across locations**